Chapter 3 Solution Hand Out Question

6. Low Interest Loan Received From Employer

On September 1 – borrowed 75,000

Down-payment on a motor home	50,000
Car (used for employment – 70%)	15,000
Shares of West Jet	10,000

a. Motor home

Prescribed interest

3rd Quarter (Sept)	50,000 x 5% x 1/12 =	208.33
4th Quarter (Oct – Dec)	50,000 x 7% x 3/12 =	875.00
		1,083.33
Less: interest paid	50,000 x 2% x 4/12 =	333.33
Interest Benefit		**750.00**

b. Car

Prescribed interest

3rd Quarter (Sept)	15,000 x 5% x 1/12 =	62.50
4th Quarter (Oct – Dec)	15,000 x 7% x 3/12 =	262.50
		325.00
Less: interest paid	15,000 x 2% x 4/12 =	100.00
Interest Benefit		**225.00**

Note: You can deduct the employment portion of the car interest paid and benefit which is 325.00 x 70% = 227.50. (line 22900)

c. Shares

Prescribed interest

3rd Quarter	10,000 x 5% x 1/12 =	41.67
4th Quarter	10,000 x 7% x 3/12 =	175.00
		216.67
Less: interest paid	10,000 x 2% x 4/12 =	66.67
Interest Benefit		**150.00**

Note: You can deduct 216.67 as a carrying charge and interest expense (line 22100)

Total Interest Benefit = $750 + 225 + 150 = **$1,125**

Alternate Calculation:
Prescribed interest

3rd Quarter	75,000 x 5% x 1/12 =	312.50
4th Quarter	75,000 x 7% x 3/12 =	1312.50
		1,625.00
Less: interest paid	75,000 x 2% x 4/12 =	500.00
Interest Benefit		**$1,125.00**